Solution

(i) Gross profit ratio $= \frac{\text{Gross profit}}{\text{Revenue from operations}} \times 100 = \frac{3,00,000}{5,00,000} \times 100 = 60\%$

Gross profit = Revenue from operations – Cost of revenue from operations
= 5,00,000 – 2,00,000 = ₹ 3,00,000

Cost of revenue from operations = Purchase of stock in trade + Changes in inventories
= 1,80,000 + 20,000 = ₹ 2,00,000

(ii) Net profit ratio $= \frac{\text{Net profit after tax}}{\text{Revenue from operations}} \times 100 = \frac{1,50,000}{5,00,000} \times 100 = 30\%$

Illustration 18

From the following trading activities of Naveen Ltd. calculate
(i) Gross profit ratio (ii) Net profit ratio (iii) Operating cost ratio (iv) Operating profit ratio

Statement of Profit and loss

Particulars	₹
I. Revenue from operations	20,000
II. Other income:	
Income from investments	200
III. Total revenues (I+II)	**20,200**
IV. Expenses:	
Purchases of stock-in-trade	17,000
Changes in inventories	-1,000
Finance costs	300
Other expenses (administration and selling)	2,400
Total expenses	18,700
V. Profit before tax (III - IV)	**1,500**

Solution

(i) Gross profit ratio $= \frac{\text{Gross profit}}{\text{Revenue from operations}} \times 100 = \frac{4,000}{20,000} \times 100 = 20\%$

Cost of revenue from operations = Purchase of stock-in-trade + Changes in inventory + Direct expenses
= 17,000 – 1,000 + 0 = ₹ 16,000

Gross profit = Revenue from operations – Cost of revenue from operations
= 20,000 – 16,000 = ₹ 4,000

(ii) Net profit ratio $= \frac{\text{Net profit after tax}}{\text{Revenue from operations}} \times 100 = \frac{1,500}{20,000} \times 100 = 7.5\%$

Tutorial note

It is assumed that there is no tax payable.

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